

Bajaj Finserv Ltd

Investment Rating : Weak

Company Overview

Website	https://www.bajajfinserv.in/
Sector	nan
Market Cap	1,905,112.17 Cr
PE Ratio	15.07
PB Ratio	6.08
Dividend Yield	2.56 %

Financial Quality

ROE	11.72
ROCE	21.14
CFO Quality	Accrual Risk
FCF CAGR	nan%
Capital Pattern	Aggressive

Capital Allocation

Capital Score	43.0
Reinvestment	Low Reinvestment
Debt Trend	Increasing Debt
Leverage	Very High

Business Overview

Bajaj Finserv Limited is an Indian non-banking financial services company headquartered in Pune. It is focused on lending, asset management, wealth management and insurance.

Strengths

Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
Revenue growing above 15% CAGR over 5 years reflects strong business momentum.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

Risks

Debt-to-equity ratio of 4.79 is elevated for a non-financial company and warrants monitoring.
Free cash flow negative for 3 consecutive years raises concern about cash generation quality.

Rising debt over the past 3 years suggests increasing financial leverage risk.